

Household Balance Sheet	
Assets	Liabilities
Human Capital	Fixed Expenses
Continuing Career	Basic Living Needs
Part-time work	Taxes
	Debt Repayment
Home Equity	
	Discretionary Expenses
Financial Assets	Travel & Leisure
Checking Accounts	Lifestyle Improvements
Brokerage Accounts	
Retirement Plans	Contingencies
	Long-Term Care
Insurance & Annuities	Health Care
	Other Spending Shocks
Social Capital	
Social Security	Legacy Goals
Medicare	Family
Company Pensions	Community & Society
Family & Community	

8. Distinguish between technical liquidity and true liquidity. An important implication from the retirement balance sheet view is that the nature of liquidity in a retirement income plan must be carefully considered. In a sense, an investment portfolio is a liquid asset, but some of its liquidity may be only an illusion. Assets must be matched to liabilities. Some, or even all, of the investment portfolio may be earmarked to meet future lifestyle spending goals. Curtis Cloke describes this in his Thrive University program for financial advisors (which I have attended twice) as allocation liquidity. Retirees are free to reallocate their assets in any way they wish, but the assets are not truly liquid, because they must be preserved to meet the spending goal. While a retiree could decide to use these assets for another purpose, doing so would jeopardize the ability to meet future spending. In this sense, assets are not as liquid as they appear.

This is different from free-spending liquidity, in which assets could be spent in any desired way because they are not earmarked to meet existing liabilities. True liquidity emerges when there are excess assets remaining